

Q2 2026 QUARTERLY COMMENTARY



Updated Store Design - Philadelphia, MS



OPENING MESSAGE

Second quarter results were another strong proof point of the earnings power and durability of **Murphy USA's** business model. The company delivered meaningful growth in fuel and merchandise contribution while maintaining the low-cost operating structure that underpins our everyday low-price model. That combination remains central to our ability to consistently generate strong free cash flow, reinvest in high-return growth opportunities, and create long-term shareholder value. The business continues to thrive as market conditions remain supportive of healthy fuel economics, as we are seeing increasing evidence of rational competitive behavior and more stable margin structures across many of our markets. Along with higher prices, we are observing well-supported floors underneath retail margins, which reinforces the value of our everyday low-price, high-volume strategy. We continue to lean into our strengths to move the business forward—fuel leadership, a differentiated nicotine platform that is gaining momentum, and disciplined capital allocation prioritizing growth through new stores and shareholder returns.

Q2 KEY METRICS

40.6 cpg	+8.6 cpg	+3.9%	+0.5%	\$227.4M	\$377.3M
All-in fuel margin	YoY all-in fuel margin	Total retail fuel volume	Same-store fuel volume	Merchandise contribution	Adjusted EBITDA

FUEL PERFORMANCE

We are pleased to report that retail fuel volumes improved in the second quarter, increasing on both a sequential and year-over-year basis. Same-store fuel volumes increased **0.5%** versus the prior year, improving from a **0.8%** decline in the first quarter, while total fuel volumes increased **3.9%**, reflecting both the same-store improvement and the contribution from new stores.

We view second quarter same-store fuel volume performance as healthy and consistent with our long-term expectations for the business. We generally expect same-store fuel volumes to fluctuate within a range of approximately plus or minus **2%**, depending on market conditions, competitive activity, and our ongoing efforts to optimize fuel contribution by balancing volume and margin at the store level. In a more favorable fuel environment, such as we experienced in the second quarter, we would expect performance to trend toward the positive end of that range.

More importantly, the underlying drivers of the quarter reinforce our confidence in the long-term health and velocity of the business. Volumes improved despite the lack of a prolonged falloff in prices, which has historically provided a more favorable environment for us to create separation versus peers and aggregate price-sensitive customers. While consumer budgets remain under pressure, fuel demand held steady according to **EIA** data, suggesting the customer remained largely resilient to higher-trending gasoline prices. Across our network, prices were above **\$4** per gallon on average only **18%** of the time during the second quarter, mostly in May. Customer behavior tends to become more value-seeking in even higher price environments, but behavior change remains a function of both the level and duration of higher prices. We believe our everyday low-price proposition was a net benefit in the quarter, and we would expect continued volume accretion if prices were to trend above **\$4** and beyond and remain there for several months.

Market dynamics continue to be the largest driver of volume variation across our network. Our more mature and stable markets significantly outperformed our emerging markets that are currently experiencing elevated competitive expansion. In Texas, our largest market, same-store gallons increased approximately **4%** in the quarter, while emerging markets such as Colorado and Florida were down approximately **11%** and **6%**, respectively, as both **Murphy USA** and competitors continue to add capacity. This pattern is consistent with the market evolution framework outlined in our Investor Presentation: competitive entry initially creates volume pressure and margin compression, but as markets mature, competitive intensity moderates, volumes stabilize, and fuel economics become more favorable.

We continue to see evidence that our mature markets are following this pattern. Same-store volumes were higher in **16 of the 27** states in which we operate during the second quarter, while total volumes were higher in all but four states, none of which were Top 10 volume states. Our largest and most mature markets, including Texas, demonstrated positive volume trends where competitive intensity has moderated and volumes are typically more stable, creating opportunities to tactically take share when market conditions are supportive.

At the same time, customer behavior remains supportive, particularly within Regular Unleaded fuel (RUL). RUL, which represents more than **80%** of our gallon volume, increased approximately **3%** year-over-year. This reflects a combination of customers trading down from higher-priced fuel grades and value-oriented consumers choosing **Murphy USA** because of our everyday low-price positioning. Overall, these trends reinforce our ability to attract and retain highly price-sensitive fuel customers while adapting to evolving consumer purchasing behavior.

FUEL MARGINS AND FUEL SUPPLY

External market data further supports this view. **OPIS** data continues to suggest that per-store volume declines remain the rule rather than the exception for the small operators and mid-size chain retailers most likely to participate in that survey. Second quarter **OPIS** volumes were down **5.8%** year-over-year and about **10%** on a two-year stack basis. This trend has been relatively consistent since the onset of COVID in 2020 and continues to support our conviction that many retailers with marginal economics are opting to price higher to maintain profitability, conceding volumes as a result.

As margins move higher at the top of the market, bottom-of-market players, including **Murphy USA**, should continue to benefit over time, a dynamic that is likely contributing to the step-up in retail margins we are seeing so far in 2026.

All-in margins of **40.6 cents per gallon** in the second quarter were up **8.6 cents per gallon** versus the second quarter of 2025, comprised of a 5.9 cent increase in retail margins and a 2.7 cent per gallon increase from our **Fuel Supply** function. We continue to see rational behavior from many competitors, with markets consistently restoring at slightly higher levels as marginal retailers price up more significantly.

Looking at first quarter data from publicly reported peers, retail margins were up from **5 to 13 cents per gallon**, a significant year-over-year increase. Over the same time period, **Murphy USA** generated about a 1.5 cent per gallon increase in retail margins, before the benefits of our Fuel Supply capability which averaged about **10 cents per gallon**. This trend indicates that bottom of market retailers are sharing the volume gains from the marginal retailer while responsibly maintaining higher price differentials to benefit customers and better compete for their business.

Over time, we believe this cycle will further stretch the supply curve, providing the opportunity to invest in price and the ability to generate volume growth at attractive margins.

Taken together, the quarter's results reflect a healthy balance between market evolution, customer value-seeking behavior, and strategic network development. While overall same store gallons were just a little better than flat, the underlying trends are consistent with our expectations and support confidence in the long-term growth and contribution potential of the fuel business.

Building on the detail we provided in the first quarter with respect to our Fuel Supply capabilities, when discussing Fuel Supply internally, we disaggregate the results into 3 distinct activities, which collectively generated **5.5 cents per gallon** in the second quarter.

This is comprised of 7.2 cents of contribution from what we call the **Controllable** activities including RIN's, which as a reminder comprise the set of assets, expertise and capabilities we strategically deploy to provide a ratable and low-cost source of supply for roughly **50%-60%** of our retail volume. Tighter supply conditions are supporting stronger spot-rack spreads, in addition to higher RIN revenues as average prices moved from **\$1.31** in the first quarter to just over **\$2** in the second quarter, a timing benefit we do not expect to persist throughout the second half.

Uncontrollable activities, which reflect the price-related exposure to changes in inventory bought and sold throughout the quarter, generated a negative 2 cent contribution.

The **Terminal and Wholesale** functions delivered another 30 basis points of margin, roughly the same as the first quarter of 2026, which taken with the Controllable and Uncontrollable elements, collectively generated **5.5 cents per gallon** to second quarter total fuel contribution from Fuel Supply.

MERCHANDISE PERFORMANCE

Total merchandise margin contribution dollars were up about **\$9 million** year-over-year in the second quarter, driven largely by continued strength in nicotine products, where same-store nicotine sales and margins were up **2.4%** and **4.6%** respectively.

Nicotine continues to provide strong and consistent growth as the promotional backdrop remained healthy in the second quarter. Importantly, we are re-gaining momentum in cigarettes where same-store sales growth and margin were both positive, representing another 50 basis points of market share gain. As a reminder, cigarettes comprise roughly **80%** of nicotine sales and about two-thirds of nicotine margins.

Cigarette strength was complemented by continued growth in the oral nicotine products, particularly nicotine pouches, where unit volume more than doubled in the second quarter. Importantly, we have grown market share in this category just over five full share points versus the prior-year quarter. We expect strong second half performance in non-combustible nicotine products.

Non-nicotine same-store sales and margins were down **1.4%** and up **0.2%**, respectively, in the second quarter.

Packaged beverage, the largest non-nicotine category with respect to margin dollar contribution, performed well with same-store sales and margin growth of **2.3%** and **3.3%**, respectively. Remaining center-of-store category results were mixed, reflecting both continued consumer budget rationalization across a broad set of non-discretionary purchases, evolving category preferences, and ongoing pressure across many industry categories. Despite these headwinds, **Murphy USA** held or gained share across all major non-nicotine categories when compared to Nielsen data. Specifically, non-nicotine sales were impacted by lotto-lottery, where the absence of large jackpots contributed to a **1.5%** decline in same-store sales, though margins increased **1.7%**. As a reminder, lotto-lottery represents approximately one-third of non-nicotine sales but less than **10%** of non-nicotine margin. Beer also remained under pressure as industry-wide consumption trends continue to shift toward alternative beverage options among key consumer cohorts. While **Murphy USA** held share, same-store beer sales and margin declined **7.7%** and **7.5%**, respectively.

OPERATING EXPENSES

For the second straight quarter, we tightly managed operating expenses, with per store operating costs, excluding payment fees and rent, growing only **1.2%** in the second quarter. Our store operations teams are continuing to deliver great results, leaning into more efficient labor scheduling to meet customer demand, efficiently aggregating and prioritizing maintenance activities, controlling shrink and carving out small savings across the many line items that comprise store-level expenses.

We still expect second-half per-store expense metrics to trend higher as more new stores are added to the network, especially in the fourth quarter.

Nevertheless, we are pleased with our progress in driving our low cost footprint even lower, which increases the competitive moat versus our peers. We still have more hard work to do, but the team is dedicated to delivering savings and ensuring we are maximizing our profit potential during these periods of price volatility.

FINANCIAL UPDATE

- Retail prices averaged **\$3.86** per gallon in the second quarter, up from **\$2.81** in the prior year period
- Total debt on the balance sheet as of June 30 was **~\$2.19 billion**
- Resulting in a consolidated leverage ratio we report to our banks of just under **1.8 times**
- The effective income tax rate was **24.7%**

With respect to our capital program and new store development, **6** new stores were added to the network in the second quarter. Since June 30th, we have opened **three** additional new stores bringing the YTD total to **15 stores**. The construction calendar remains active with **37** new stores currently under construction with estimated completion dates in the fourth quarter of 2026 and the first quarter of 2027.

Our cash flow from operations, including changes in working capital and other items, remained robust in the second quarter, at **\$235 million**, against total capex of about **\$130M**, generating strong free cash flow for the quarter of approximately **\$105 million**. Additionally, we repurchased about 143.1 thousand shares during the quarter for roughly **\$76.8M**, an average cost of approximately **\$537** per share, in addition to a dividend of **\$11.8M**, or \$0.64 cents per share.

Also, as stated in the earnings release, we issued **\$500 million** of **5.875%** senior notes due 2034 and subsequently redeemed **\$300 million** of senior notes due in 2027, with the remainder repaying outstanding borrowings under the revolving credit facility, which was undrawn at quarter-end. Cash on the balance sheet as of June 30th was about **\$175 million**.

GUIDANCE REVIEW AND UPDATE

New store growth will be closer to 45 new stores, or the lower-end of the guided range, with the higher-end of the guided range, 55 stores, representing potential upside from any tuck-in activity. We have scaled back our raze-and-rebuild program in 2026 and expect to convert ten kiosks to 1,400 square foot walk in stores, versus the up to 30 stores in the guided range. We are keeping the team internally focused on new store development and ensuring adequate resources are available to execute against our growth agenda.

We expect 2026 retail volumes at roughly the midpoint of our guided range, both on an average per store month and same-store measure. Merchandise contribution dollars are currently running at the lower end of the range of **\$890 million to \$900 million**. Store opex excluding payment fees and rent is running closer to the low end of the guided range of **37k to 38k** on an average per store month basis. The effective tax rate averaged **23.9%** in the first half, and is expected to remain in the guided range of **23% to 25%**. We expect capital expenditures to approximate the higher end of the range, closer to **\$525 million** as we are re-allocating capital away from raze and rebuilds into other areas of the business, including proactive maintenance activities, which are driving savings in the maintenance expense line, moving up the construction timeline in 2026 for new stores planned to open in 2027, maintaining our brand standards that unify and update the look and feel of our stores in key markets, and most importantly, investing in our land pipeline to ensure we are well-positioned to sustainably grow at a 50+ store pace for the foreseeable future.

Importantly, all-in fuel margins, while not an official guided metric we provide, are running well ahead of our initial forecast from both a retail and fuel supply perspective, given the volatility we have encountered so far in 2026. First-half all-in fuel margins averaged **37.9 cents per gallon**. While we cannot predict fuel margin behavior with any degree of accuracy over the short-term, using a relatively conservative second-half fuel assumption of **35 cents per gallon**, we expect the business to generate full-year **Adjusted EBITDA** of roughly **\$1.25 billion**.

Our capital allocation priorities remain clear and unchanged. Over time, you can expect us to maintain a balanced approach to growth and capital returns to shareholders, which will include continued share repurchase and ongoing dividend growth.

We will continue to allocate capital with discipline, balancing investments that strengthen our long-term growth with a relentless focus on cost management and capital efficiency. We believe this approach will improve returns and strengthen our ability to generate free cash in support of long-term shareholder value creation.

CLOSING COMMENTS

Preliminary July volumes are running about **1%** below prior year, about what we would expect given the rapidly rising price environment in mid-July as hostilities re-kindled in the Middle East. Volume growth during periods of rising prices is typically harder to get, so we see this as a win and are very pleased with the way the company is performing in this environment. Despite the rising prices, which also tend to compress margins, we are seeing retail margins in the high-20 cent range, with likely all-in margins in the low to mid **30 cents per gallon**.

Merchandise results continue to show strength in nicotine as we actively leverage opportunities to drive traffic. Preliminary results suggest that total merchandise contribution dollars grew **3-4%** versus prior year in July, with full-year performance targeted at the lower-end of the full-year guided range of **\$890 million to \$900 million**.

QUESTION AND ANSWER WEBCAST

Thank you for your continued interest in Murphy USA. We look forward to you joining us on our Question and Answer Session tomorrow morning, August 6th, 2026 at 10 AM CST. Approximately one hour after the conclusion of the live session, the webcast will be available for replay. Shortly thereafter, a transcript will be available.

Please access the webcast through the [Murphy USA Investor Relations Website](#).

FORWARD-LOOKING STATEMENTS

Please keep in mind that some of the comments within this document will be considered forward-looking statements as defined in the Private Securities Litigation Reform Act of 1995. As such, no assurances can be given that these events will occur or that the projections will be attained. A variety of factors exist that may cause actual results to differ. For further discussion of risk factors, please see the latest **Murphy USA** Forms 10-K, 10-Q, 8-K and other recent SEC filings. **Murphy USA** takes no duty to publicly update or revise any forward-looking statements. During today's discussion, we may also provide certain performance measures that do not conform to Generally Accepted Accounting Principles, or GAAP. We have provided schedules to reconcile these Non-GAAP measures with the reported results on a GAAP basis as part of our earnings press release, which can be found on the investor section of our website.

REQUIRED NON-GAAP RECONCILIATION

An itemized reconciliation of Adjusted EBITDA to Net Income for the full year 2026 outlook, is as follows:

	<i>Calendar Year 2026 Outlook</i>
<i>(Millions of dollars)</i>	
Net Income	\$636
Income taxes	\$203
Interest expense, net of investment income	\$115
Depreciation and amortization	\$295
Other operating and nonoperating, net	\$1
Adjusted EBITDA	<u><u>\$1,250</u></u>

As noted in the earnings release quote, using all-in fuel margins of 35 cpg for the back half of 2026, combined with the actual results from the first-half, management would expect the business to generate Net Income of \$636 million, which would translate to expected Adjusted EBITDA of about \$1.25 billion